BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid

Case 19-G-0309 & 19-G-0310

August 2019

Prepared REDACTED Testimony of:

Staff Site Investigation and
Remediation Panel

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Q. Please state the names, employer, and business address of the Staff Site Investigation and Remediation (SIR) Panel.

A. Our names are John Castano, and Jeremy Flaum. We are employed by the New York State Department of Public Service (Department). Our business address is Three Empire State Plaza, Albany, New York 12223.

Q. Mr. Castano, are you a member of the Staff Revenue Requirement Panel and are your credentials contained in that testimony?

A. Yes.

Q. Mr. Flaum, what is your position at the Department?

A. I am employed as a Utility Analyst 3 in the Environmental Certification and Compliance Section of the Office of Electric, Gas and Water.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from the State University of New York College at Cortland in 2003 with a Bachelor of Science degree in Geology. I also earned a Master of Science degree in Environmental

Management from the University of Maryland, University College, in 2008. I joined the Department in 2009. Prior to joining the Department, I held Geologist positions at two environmental consulting firms where I performed field investigations, oversight, and data analysis for multiple environmental remediation sites.

Q. Please describe your responsibilities with the Department.

A. My primary responsibilities include evaluating environmental and land use impacts for the siting of electric and gas transmission facilities and electric generating facilities under Articles VII and 10 of the New York State Public Service Law. Additionally, I have been assigned to review utility SIR cost control practices and have provided recommendations for previous rate cases before the Public Service Commission of the State of New York (Commission).

Q. Have you provided testimony in previous Commission proceedings?

A. Yes. I previously testified as part of

Department Staff's SIR Panels for several rate cases. Most recently, I testified in Cases 18-E-0067 and 18-G-0068, Orange and Rockland Utilities, Inc.; 17-E-0459 and 17-G-0460, Central Hudson Gas and Electric Corporation; and Cases 17-E-0238 and 17-G-0239, Niagara Mohawk Power Corporation d/b/a National Grid. I have also testified before the Commission regarding geologic and water resource impacts of proposed electric transmission projects in Cases 08-T-0034 and 10-T-0139, and before the New York State Board on Electric Generation Siting and the Environment regarding geologic and water resource impacts, and as part of the Staff Policy Panel, for proposed wind energy facilities in Cases 14-F-0490, 15-F-0122, 16-F-0062, 16-F-0328, 16-F-0559, and 16-F-0205.

Q. Please summarize the scope of the SIR Panel's testimony.

A. Our testimony consists of our review of the SIR programs and costs of the KeySpan Gas East Corporation d/b/a National Grid (KEDLI) and the Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY), including the Companies' SIR

practices, historic and forecasted expenditures, and rate allowance and SIR surcharge requests. We then present our findings regarding the effectiveness of the Companies' SIR cost mitigation strategies and procurement practices for SIR work; the Companies' compliance with regulatory requirements applicable to their SIR sites; and the reasonableness of the Companies' projected SIR expenditures and proposed rate allowances related to the recovery of their SIR program costs. Our findings concerning these issues form the basis for our recommendations to the Commission.

Q. Is the Panel sponsoring any exhibits?

A. Yes, we are sponsoring three exhibits; Exhibit___(SIR-1), Exhibit___(SIR-2), and Exhibit___(SIR-3).

Q. Please describe Exhibit___(SIR-1).

A. Exhibit___(SIR-1) includes the information request (IR) responses we relied upon and have referenced throughout our testimony. We will refer to these IRs by the number assigned by the Department, for example DPS-100.

Q. Please describe Exhibit___(SIR-2).

A. Exhibit___(SIR-2) consists of the workpapers that were created in calculating the adjustments referenced in our testimony.

Q. Please describe Exhibit___(SIR-3).

A. Exhibit___(SIR-3) consists of the Companies' budgeted versus actual amounts for calendar years 2016, 2017, and 2018.

Regulation and Oversight

Q. Briefly describe the regulation and oversight of SIR programs in New York State.

A. SIR programs are primarily overseen by the New York State Department of Environmental Conservation (DEC), in accordance with 6 NYCRR Part 375 regulations. The United States Environmental Protection Agency (EPA) regulates and oversees certain sites regulated pursuant to the Federal Comprehensive Environmental Response, Compensation and Liability Act of 1980 ("Superfund"). Under orders or agreements with utilities, DEC regulates the cleanup of former manufactured gas plan ("MGP") sites within the State.

Q. How are SIR activities for the utilities' MGP sites within New York State prioritized?

A. In consultation with the New York State Department of Health, DEC's prioritization of remedial activities at MGP sites is ongoing. DEC prioritizes sites based on several considerations, including existing land use of the site and nearby properties, proximity of the site to sensitive environmental receptors, cultural and recreational resources in close proximity to the site, reliance on private and public water supply wells in close proximity to the site, and potential reuse of the site.

Q. Please summarize your understanding of the Commission's Order Concerning Costs for Site Investigation and Remediation, issued November 28, 2012, in Case 11-M-0034 (SIR Order).

A. During that proceeding, the Commission considered the possibility of adopting a generic policy with respect to the sharing of SIR costs between ratepayers and shareholders. The Commission concluded that a generic cost-sharing requirement should not be applied; however, the Commission stated that cost-sharing should be considered in future rate cases if it is determined that a utility is not exerting

appropriate efforts to control SIR costs. The SIR Order required the joint major electric and gas companies to collaborate and file with the Commission an inventory of best practices for SIR cost containment. In addition, the SIR Order required that, in any future rate filing in which a utility seeks to recover SIR expenses, the utility must provide testimony discussing its SIR cost control efforts and include an attestation to the utility's compliance with the inventory of best practices for SIR cost containment. Furthermore, the SIR Order directed that testimony be provided establishing that the remediation process is in compliance with existing timetables and DEC requirements, explaining the results of any internal process the utility may have conducted to review its SIR procedures, and describing how internal controls are utilized for SIR projects.

SIR Program Overview

Q. What type of expenses are included in the Companies' SIR program?

A. SIR expenses primarily relate to the costs of assessment, monitoring, cleanup and restoration

of sites containing environmental contamination for which the Companies have been found to be wholly or partially responsible, pursuant to Superfund and the Companies' Consent Orders with DEC, to perform SIR activities associated with the cleanup of environmental contamination resulting from the former operation of MGP sites owned or operated by the Companies and their predecessor companies.

Q. How many sites are currently included in KEDLI's and KEDNY's SIR Programs?

A. According to the testimony of Company Witness Willard, KEDLI is wholly or partially responsible for 29 MGP sites, of which 13 have received a "No Further Action" determination with no ongoing obligation. KEDNY is wholly or partially responsible for 27 MGP sites, five of which have received a "No Further Action" determination, and two federal Superfund sites associated with the Gowanus Canal and Newtown Creek waterways.

Q. Have the Companies identified, or been notified, of any other potential SIR sites for which they may be wholly or partially responsible?

A. According to the Company's response to IR DPS-411 included in Exhibit___(SIR-1), KEDNY is currently aware of four additional SIR sites identified by DEC for which it may be wholly or partially responsible, however, no formal determination of liability for these sites have been made by DEC. Additionally, according to the responses to IRs DPS-411 and DPS-412, included in Exhibit___(SIR-1), both Companies received notifications from the EPA on September 21, 2018 regarding alleged responsibility for potential contamination at the Pure Earth Superfund Site, a former waste disposal facility located in Vineland, New Jersey. Both KEDNY and KEDLI are evaluating EPA requests to join a potentially responsible parties (PRP) group, yet, no formal determination of liability have been made for either Company with respect to the site.

Q. Are there any other environmental contamination sites for which the Companies are responsible?

A. Yes. According to the Companies' response to IR DPS-411, and DPS-412, both KEDLI and KEDNY have responsibility for the cleanup of petroleum and

other hazardous materials released as part of their operations, however, these remediation projects are treated by the Companies as operational expenses and the costs are not included in their SIR deferral balances for future recovery.

Q. Has the Panel reviewed the Companies' forecasted schedules and costs for SIR activities for each of their SIR sites?

A. Yes, we have reviewed all relevant materials associated with the Companies' SIR schedule and cost forecasts. Based on our experience in examining SIR programs, we conclude that these costs are appropriate for the scopes of work anticipated by the Companies, however, we also note that schedule slippages have historically occurred, resulting in spending delays, and should be considered when evaluating SIR cost projections on an annual basis.

Q. Have KEDLI and KEDNY demonstrated that their SIR programs are in compliance with all applicable regulatory requirements and timetables?

A. Yes. Company witness Willard provides an attestation of the Companies' overall compliance

with existing timetables and DEC requirements in his testimonies for both KEDNY and KEDLI. Additionally, Exhibit___(CFW-7) of Charles F. Willard's KEDNY testimony and Exhibit___(CFW-5) of Charles F. Willard's KEDLI testimony provide explanations for any variances from the scheduled activities and the activities actually performed in calendar year 2018.

Q. Do the Companies describe their practices and strategies for reducing and/or minimizing SIR costs?

A. Company witness Willard provides attestations that both of the Companies' SIR programs comport with the Inventory of Best Practices for Utility SIR Programs, filed March 28, 2013, in Case 11-M-0034, pursuant to the Commission's direction in the SIR Order. Company witness Willard summarizes the Companies' cost control efforts for their SIR programs in Appendix 1 of his testimony for both Companies.

Q. Describe the Companies' competitive bidding and procurement processes for consultants and remediation contractors for their SIR programs.

A. KEDLI and KEDNY use the same competitive bidding

and procurement processes. Their processes for the competitive bidding and procurement of consultant and remediation contractor services for the SIR programs are described in Appendix 1 of the testimony of Company witness Willard for both Companies. Based on the information provided, we understand that the Companies use a competitive bidding process to procure consultant and remediation contractor services for all of their SIR sites. The procurement processes for both environmental consultants and remediation contractors involve the same general process, which includes a project-specific request for proposals. For certain smaller projects or routine work, the Companies sometimes use Blanket Purchase Orders to solicit competitive bids. The Companies require that competitive bids include specific details breaking down the cost, including labor hours, subcontractor costs, and other direct costs for each task. Consultant and contractor bids are then reviewed, and selections are made based on cost, technical merit and personnel qualifications. According to Appendix 1 of the

testimonies of Mr. Willard for both KEDLI and KEDNY, the Companies established new Master Services Agreements (MSAs) for routine SIR-related environmental consulting work and for construction management work in 2018. The new MSAs issued in 2018 resulted in an expansion of the Companies' consulting pool from five to seven firms. Proposals for routine SIR work are evaluated based on the negotiated rates under these agreements. The use of MSAs allows the Companies to maintain consistency with SIR consultants during multi-phased long-term remediation projects and minimize overhead costs by reducing costs of bidding and achieving savings through negotiated rates and volume discounts. According to Appendix 1 of Mr. Willard's testimonies, the Companies separately perform interviews and establish rates with a single vendor for circumstances where specialized consulting services are required, particularly in support of legal matters.

Q. Do the Companies' procurement and competitive bidding practices enable them to effectively implement their SIR programs while mitigating

consultant and remediation contractor costs?

A. Based on the information provided by KEDLI and KEDNY in this proceeding, we believe that the consultant and remediation contractor procurement and competitive bidding practices enable the Companies to effectively carry out the SIR programs, while utilizing competitive bidding processes that minimize costs for individual sites.

Cost Control Efforts

Q. Do KEDLI and KEDNY describe the Companies' mechanisms for reducing and/or minimizing SIR costs?

A. Yes. Appendix 1 of the testimonies of witness Willard and the Companies' responses to IRs in this proceeding identify numerous cost control efforts that are utilized in the SIR programs. The Companies' cost control efforts include implementation of flexible investigation work plans that reduce costs associated with recurrent work plans and mobilization of contractors and equipment, development of remediation solutions that contemplate current and planned uses of a site, and reuse of

excavated materials where feasible and acceptable.

Q. Do the Companies perform audits or other internal reviews of their SIR Programs or individual SIR sites?

A. According to the Companies' response to IR DPS-410, included in Exhibit___(SIR-1), over the past five years, National Grid conducted five audits for work conducted under the MSA contracts. Further, National Grid's SIR Project Managers performed 44 compliance assessments on active SIR sites between June 2014 and June 2019. According to the response to DPS-410, National Grid also performs multiple audits per year of facilities the Companies use for disposal of materials from SIR sites in order to minimize risk of future environmental liabilities. National Grid's SIR group also retained an external consultant to assess active SIR project sites.

Q. How do the Companies address deficiencies and recommendations identified in the reports of audits of their SIR programs?

A. According to the Companies' response to IR DPS-

410, the SIR group reviews audit recommendations or deficiencies with the audit team and identifies appropriate corrective actions. Corrective action items are tracked on a monthly basis and documentation is provided to the audit team upon completion.

Q. Do the Companies pursue cost-sharing or cost recovery opportunities?

A. Yes. According to the testimonies of witness Willard, both KEDLI and KEDNY routinely perform reviews of historic land uses of specific sites and neighboring properties and perform investigations to identify other PRPs.

Q. Describe the results of the efforts by the Companies to identify other PRPs at their SIR sites.

A. As described in the Companies' redacted response to IR DPS-413, included in Exhibit___(SIR-1), both KEDLI and KEDNY have successfully identified PRPs at some of their SIR sites, including Gowanus Canal, Newtown Creek, Williamsburg, Sag Harbor, and College Point. The Companies' efforts have included successful demonstrations to DEC that existing

contamination is not attributable to the Companies' legacy operations and were alternatively caused by historic operations from other former property occupants or historic operations at adjacent properties. These efforts to identify other PRPs have resulted in decreases in the liabilities of KEDLI and KEDNY at these sites. For example, as noted in the redacted response to DPS-413, KEDNY was initially tasked to assume full responsibility for remediation costs at the Gowanus Canal. KEDNY's efforts to identify other PRPs for this site have resulted in the formation of a group of 21 parties that have agreed to fund the remedial design on an interim basis.

Q. Do KEDLI and KEDNY pursue insurance cost recovery opportunities for investigation and remediation of their MGP sites?

A. Yes. As noted in the Companies' response to DPS-227 and the confidential response to DPS-905, both of which are included in Exhibit___(SIR-1), KEDLI has successfully settled MGP claims with a number of insurance companies for approximately

BEGIN CONFIDENTIAL INFORMATION < [redacted] **> END CONFIDENTIAL INFORMATION**

KEDNY has settled MGP claims with a number of insurance companies for approximately **BEGIN CONFIDENTIAL INFORMATION <** [redacted] **> END CONFIDENTIAL INFORMATION**

Q. Are the Companies currently pursuing insurance cost recoveries with any other excess liability insurance carriers?

A. In its response to IR DPS-227, included in Exhibit___(SIR-1), KEDNY indicates that it is involved in litigation with Century Indemnity Company and Munich Reinsurance America, involving questions of insurance coverage for 17 of the Company's MGP sites. According to KEDNY, the amount of the claim is unknown at this point and will be based on a number of factors. KEDLI has not identified any additional insurance claims that remain outstanding.

Q. Are there any other cases involving claims made by or against the Companies relating to their SIR sites?

A. Yes. According to the response to DPS-227, KEDLI is defending multiple lawsuits brought on behalf of property owners and residents of Bay Shore, primarily associated with alleged diminution of the values of residential and commercial properties proximal to the Bay Shore MGP site. The response to DPS-227 further indicates that KEDNY filed a federal Superfund lawsuit in January 2017 against 15 parties from which it seeks cost recovery and contribution for SIR costs in the area of KEDNY's Williamsburg MGP site. Litigation in this proceeding is ongoing.

SIR Program Costs & Cost Recovery

Q. What level of SIR costs does KEDNY currently recover through base rates?

A. KEDNY's annual base rate recovery for SIR costs is $65.288 million. This includes annual recovery of one-tenth of the forecast SIR deferral balance as of December 31, 2016, or $18.521 million, and $46.767 million for forecasted expenses at its MGP sites.

Q. Is KEDNY currently recovering costs associated with the Gowanus Canal and Newtown Creek?

A. No. According to the direct testimony of Charles F. Willard, at the time of the 2016 Rate Case, it was difficult to accurately forecast SIR expenses for those sites. Therefore, the costs associated with the Gowanus Canal and Newtown Creek are not currently included in base rates. However, KEDNY is authorized to defer any costs related to the Gowanus Canal and Newtown Creek, and an SIR Recovery Surcharge would be triggered if KEDNY incurred costs above a set threshold. The mechanics regarding the SIR Recovery Surcharge are discussed below.

Q. Has KEDNY incurred costs above the set threshold triggering the SIR Recovery Surcharge Mechanism?

A. No. KEDNY has underspent its base rate allowance. As of December 31, 2018, KEDNY's actual post-2016 SIR deferral balance is deferred credit in the amount of ($14.761) million.

Q. What level of SIR costs does KEDLI currently recovery through base rates?

A. KEDLI's annual base rate recovery for SIR costs is $18.816 million. This includes annual recovery of one-tenth of the forecast SIR

deferral balance as of December 31, 2016, or $14.168 million, and $4.648 million for forecasted expenses at its MGP sites.

Q. Please describe KEDLI's recent SIR spending?

A. According to the direct testimony of Charles F. Willard, KEDLI experienced a declined level of spending from 2016 to 2017, largely attributable to less remediation construction activity. Based on KEDLI's recent historic spending, and spending forecast through Fiscal Year (FY) 2024, we do not anticipate any significant increase in SIR spending.

Q. Has KEDLI also been underspending its base rate allowance?

A. Yes. As of December 31, 2018, KEDLI's actual post-2016 SIR deferral balance is deferred credit in the amount of ($5.771) million.

Rate Year Recovery

Q. Explain how the Companies developed their Rate Year forecasts.

A. According to the direct testimonies of Charles F. Willard, the Companies' Rate Year forecasts utilized the current approved DEC schedule, and the anticipated work schedule for fiscal year

2020. The work schedules take into account the status of each site, and the knowledge derived from project managers regarding site progress and potential delays to determine the projected work on a site-by-site basis. The projected costs for each site are based on the anticipated scope of work at the site and the projected remedy for those sites still requiring remedial activities. KEDNY's forecast of MGP costs for the Rate Year is $66.088 million. KEDNY also forecasted $20.0 million for its Superfund sites (Gowanus Canal, and Newtown Creek) based on Historic Test Year spending. The resulting total of Rate Year recovery is $86.088 million. KEDLI's forecast of SIR costs for the Rate Year is $6.6 million.

Q. Please explain the Companies' proposal for recovery of SIR expenditures during the Rate Year.

A. The Companies propose to include the forecast of SIR costs for the Rate Year in base rates. In addition, the Companies propose to continue to annually recover one-tenth of their respective SIR deferral balance, as of December 31, 2016.

Further, KEDNY proposes the continuation of the SIR Recovery Surcharge.

Q. Explain how the SIR Recovery Surcharge is supposed to function.

A. In the event the difference between actual SIR costs (inclusive of the Gowanus Canal and Newtown Creek), and the SIR base rate allowance exceeds $25 million on a cumulative basis, KEDNY is authorized to recover through the SIR Recovery surcharge (1) the difference between actual SIR expense and the SIR rate allowance (2) any amount that was not recovered in the prior year’s SIR Recovery Surcharge because the cumulative difference between actual SIR costs, and the base rate allowance did not exceed the $25 million threshold and/or the amount would have increased KEDNY’s aggregate revenue by more than two percent.

Q. Do you agree with the continuation of the SIR Recovery Surcharge Mechanism for KEDNY?

A. Yes. KEDNY has demonstrated that the substantial anticipated costs associated with the Gowanus Canal and Newtown Creek Superfund sites warrant continuation of the SIR Recovery

Surcharge Mechanism. The SIR Recovery Surcharge Mechanism would enable the Company to appropriately recover significant incremental costs associated with these sites in a manner that would not unreasonably impact ratepayers.

Q. Do you agree with KEDLI's proposal to continue the provision, allowing KEDLI to petition the Commission to recover unanticipated, incremental SIR costs through the SIR Recovery Surcharge?

A. Yes. While we recognize KEDLI is currently in a maintenance phase for many of its remediation sites, facilitating more reliable forecasting of SIR costs, it remains a reasonable possibility that KEDLI may have to recover considerable incremental SIR expenses.

Q. Do you agree with the Companies' proposal to recover forecasted SIR costs for the Rate Year?

A. Not entirely. We do not agree with the Companies' proposed Rate Year recovery for their MGP sites.

Q. Please explain.

A. Based on the information provided in the Companies' responses to IRs DPS-234 and DPS-235, included in Exhibit___(SIR-1), and the

Companies' SIR Annual Reports filed in Case 11-M-0034, the Companies actual expenditures for its SIR sites have historically been below its cost budget. A comparison of forecasted versus actual spending for calendar years 2016 through 2018 is provided in Exhibit___(SIR-3).

Q. Has the Panel compared KEDNY's actual MGP costs to KEDNY's rate allowance for its MGP sites, per its latest rate plan, Case 16-G-0059?

A. Yes. For Rate Year 1, or calendar year 2017, KEDNY had a rate allowance of $53.871 million, and incurred actual MGP costs of $23.383 million. For Rate Year 2, or calendar year 2018, KEDNY had a rate allowance of $45.643 million, and incurred actual MGP costs of $12.706 million. This results in a combined rate recovery for KEDNYs MGP sites of $99.514 million, and combined actual spending of only $36.089 million, or a difference of $63.425 million.

Q. Has the Panel compared KEDLI's actual MGP costs to KEDLI's rate allowance for its MGP sites, per its latest rate plan, Case 16-G-0058?

A. Yes. For Rate Year 1, or calendar year 2017,

KEDLI had a rate allowance of $13.402 million, and incurred actual MGP costs of $7.301 million, resulting in difference of $6.101 million. For Rate Year 2, or calendar year 2018, KEDLI had a rate allowance of $7.442 million, and incurred actual MGP costs of $8.259 million. This results in a combined rate recovery for KEDLI's MGP sites of $20.844 million, and combined actual spending of only $15.56 million, or a difference of $5.284 million.

Q. What could potentially cause SIR spending to be lower than what is forecasted under the DEC schedule?

A. Several factors could contribute, including: (1) schedule and scope modifications that occur on a year to year basis, which are outside of the Companies' control; (2) construction delays due to site access issues with property owners; (3) permitting requirements and regulatory approvals; and (4) investigation, design, and implementation delays associated with unanticipated site conditions. Further, as stated in the testimonies of Charles F. Willard, SIR costs are subject to a high degree of

variability, which leads to a high degree of risk that actual costs could be more or less than anticipated.

Q. What is the Panel's recommendation?

A. We are concerned about the accuracy of the Rate Year MGP forecasts. Therefore, we recommend the use of a projected average for the Companies' MGP sites based on their projections for Fiscal Year(s) 2021 through 2024.

Q. Explain why the Panel disagrees with the Companies' proposed rate year forecast.

A. Historically, the Companies' projections have been significantly inaccurate. While we acknowledge that the Companies have attempted to consider potential delays and other inhibiting factors in their forecasts, we do not have confidence that the forecasts can be relied upon given the large margin between the Companies' MGP rate allowance, and what costs were actually incurred during the previous rate period. The use of a projected average levelizes the costs the Companies expect to incur.

Q. Please explain why the use of a projected average to levelized costs is appropriate.

A. Based on the historical differences between the Companies' MGP forecasts and actual MGP spending, our approach will more closely align rate recovery with project spending and reduce the year to year variability. We expect this approach to stabilize rate impacts as SIR costs increase in coming years.

Q. Why does the Panel anticipate SIR costs to increase in coming years?

A. KEDNY is anticipating significant liabilities at two Superfund sites: Gowanus Canal and Newtown Creek. KEDNY's liabilities for these sites are unknown at this time. Therefore, we are unable to reasonably forecast the expenses for these sites. In the event KEDNY incurs significant incremental costs, the SIR Recovery Surcharge is readily available.

Q. Is the Panel proposing any adjustment to KEDNY's Rate Year forecast relating to the Gowanus Canal and Newtown Creek?

A. No. We agree with KEDNY's proposal to utilize the amount of $20.0 million, incurred for the Gowanus Canal, and Newtown Creek in the Historic Test Year be used as the basis to forecast the

Rate Year. As previously stated, KEDNY is unable to reasonably forecast its future liabilities at these sites at this time. However, we recognize that the Company is currently incurring costs for both sites that are generally consistent with the proposed amount of $20.0 million.

Q. Please summarize the SIR Panel's recommendations.

A. Based on the information provided in this proceeding, we believe that the Companies have sufficiently satisfied the informational requirements of the SIR Order and adequately demonstrated compliance with the Inventory of Best Practices for Utility SIR Programs. We recommend the use of a projected average to forecast the Companies' MGP spending for the Rate Year. Our proposal utilizes the Companies' MGP forecasts for FY 2021 through FY 2024. Therefore, we have reflected a downward adjustment to SIR expense in the amount of $15.168 million for KEDNY, and $1.734 million for KEDLI. This results in a Rate Year forecast for KEDNY in the amount $70.920, and a Rate Year

forecast for KEDLI in the amount of $4.896 million.

Q. Does the SIR panel propose any other adjustments or recommendations?

A. No.

Q. Does this conclude your testimony at this time?

A. Yes it does.